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TRANSPORTATION



Tesla hands \$29B comp package to Elon Musk amid 'AI talent war'



Tesla's board of directors has announced a new compensation package for CEO Elon Musk worth around \$29 billion in shares, with the company citing the “ever-intensifying AI talent war and Tesla's position at a critical inflection point” as reasons for the payout.

The massive pay package is being allocated through a 2018 Equity Incentive Plan that is already approved by shareholders, so it won't go to a vote, according to [a regulatory filing and Ann Lipton](#), a professor at the University of Colorado Law School. Tesla says it will put “a longer-term CEO compensation strategy” to a vote at the company's annual shareholder meeting, which is scheduled for November.

IMAGE CREDITS:
Robert Orlowski/Reuters Images

Musk's new compensation plan will be entirely voided if the Delaware Supreme Court decides to overturn a judge's [January 2024 decision](#) to strike down Musk's 2018 compensation package because of how it was negotiated behind the scenes. That pay package was worth around \$56 billion.

Musk has threatened to stop working on AI and robotics at Tesla [unless he gains more control over the company](#). Those threats preceded what is now a multimillion-dollar talent war among the [biggest companies in the artificial intelligence space](#), along with a rush of mergers and acquisitions.

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At the same time, Musk has built up his own AI company outside Tesla called xAI, which now owns X, his social media platform. This has happened while Tesla's [sales growth has vanished](#) and its brand has been damaged by Musk's involvement in the Trump administration.

Tesla [said](#) Monday that its board of directors formed a special committee earlier this year consisting of chairwoman Robyn Denholm and board member Kathleen Wilson-Thompson in order to sort out a new package.

The award they ultimately decided on involves giving Musk 96 million shares that will vest in two years, provided that he “serve continuously in a senior leadership role at Tesla” during that term and holds the stock for five years. Unlike Tesla's previous award to Musk, this new package does not appear to be tied to goals like increasing the company's stock price.

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At Tesla's Monday premarket trading price, that would be worth around \$29 billion. Musk will have to pay a \$23.34-per-share purchase price, bringing the total current value of the award to him to roughly \$26.7 billion. Depending on how the Delaware Supreme Court rules on Tesla's appeal, the package may be forfeited so "there cannot be any 'double dip,' according to Tesla.

"Elon will not be able to keep this new award in addition to the options he will be awarded under the 2018 CEO Performance Award should the courts rule in our favor," the company wrote.

Tesla said Musk and his brother Kimbal, who is also a board member, recused themselves from the process of constructing this new compensation package. Musk's involvement in the 2018 compensation package was one of the reasons Delaware Chancery Court Judge Chancellor Kathaleen McCormick [decided to strike it down](#) following a trial sparked by a shareholder lawsuit.

McCormick said the process of creating that 2018 plan was "deeply flawed" because of Musk's input and his deep connections to the people on Tesla's board. She also criticized that plan for not including any terms that would bind Musk to Tesla for "any set amount of time" — a likely reason for the two-year pledge included in the new plan.

McCormick's decision caused an uproar among Tesla's largest fans and many of its shareholders. It's also what inspired the company to re-incorporate from Delaware to Texas, a state with fewer established shareholder protections written into its laws. Tesla went as far as holding a shareholder vote to "re-affirm" the pay package. But McCormick [confirmed her decision in December 2024](#), saying the vote and Tesla's legal

arguments were “unprecedented theories [that] go against multiple strains of settled law.”

Update: This story and the headline have been updated to reflect that the award has been approved by Tesla’s board and does not need a shareholder vote.

Topics: [Elon Musk](#) [Tesla](#) [Transportation](#)



Sean O'Kane

Sr. Reporter, Transportation |

Sean O’Kane is a reporter who has spent a decade covering the rapidly-evolving business and technology o...

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SPACE



SpaceX is building a water pipeline to Starbase – but access comes with some conditions



The newest piece of infrastructure coming to Starbase, Texas isn't a launch mount or a booster. It's a water pipeline, and who can hook up a tap (and on what terms) will shape the definition of "company town."

The new line, which will stretch from Brownsville to the newly incorporated City of Starbase, will replace the truck-hauled deliveries SpaceX has used to transport potable water for its employees and on-site residents. Brownsville Public Utilities Board COO Mark Dombroski confirmed the line at a July 16 meeting, saying the board had executed a contract with SpaceX to provide water as an in-city customer.

IMAGE CREDITS: SPACEX

The BPUB approved the SpaceX contract on June 2, Dombroski told TechCrunch over email. He did not explain why SpaceX is being treated as an in-city nonresidential customer, which carries a cheaper rate class than outside-city customers, despite the fact that the company did, indeed, establish its own city.

"Under a non-standard development agreement, SpaceX will extend – at their cost – a line to a metering point within the city limits, then transport the water to Starbase," he continued. "They will also pay for and construct the improvements needed for BPUB to deliver water to the meter. This arrangement is intended to supersede the water hauling arrangement after SpaceX starts taking

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water through the meter. Timing is driven largely by SpaceX’s construction schedule.”

The potable water deliveries have been constrained by a 60,000 gallons per day cap under the current hauled-water purchase agreement between BPUB and SpaceX, according to a January 2024 letter from the Texas Commission on Environmental Quality (TCEQ). The pipeline would change that, making it easier for SpaceX to build out more amenities and housing for employees.

For a handful of non-SpaceX affiliated homes, getting access to that water may come with some terms and conditions.

In July, nearly 40 properties along the stretch between Brownsville and Boca Chica were abruptly cut off from the county water service, [according to the San Antonio Express-News](#). Cameron County previously delivered fresh water as a “courtesy” service to these properties, but the county now says it is Starbase’s responsibility to deliver water to these residents.

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Starbase disagrees: in July, Starbase city administrator Kent Myers reportedly sent a letter to a Cameron County commissioner saying the abrupt water cut-off “poses safety and public health risks.”

Starbase “has neither the legal authority nor operational capacity to deliver water to these residents,” Myers said.

Meanwhile, SpaceX has reportedly distributed an “unconditional and perpetual agreement” to non-SpaceX affiliated homes that would exchange access to Starbase’s water and sewer system for residents’ agreement to leave the area for “any and all launch, testing and other operational activities.”

The document also states that “SpaceX has no obligation to provide residents with access to SpaceX’s water and wastewater treatment,” nor does it guarantee the quality or volume of water and blocks residents from seeking “legal or monetary recourse” against the company.

A city – with no utilities

The newly incorporated City of Starbase, governed by SpaceX executives, is a separate municipal entity adjacent to and encompassing SpaceX’s sprawling South Texas launch site.

[The city was incorporated in May.](#) Only registered voters within the proposed boundary were allowed to vote on the incorporation. There were 247 lots inside that boundary, and only 10 were not owned by SpaceX, according to an affidavit submitted by SpaceX senior manager of spaceport operations Richard Cardile.

Even before the vote was cast, SpaceX had been working behind the scenes to formalize potable water provisions for employees and residents.

SpaceX established a state-regulated drinking-water system, replete with a half-a-million-gallon ground storage tank, plus service pumps, a chlorine analyzer, tank mixer, and other hardware, according to TCEQ records. The central water system, which is supplied by the two water haulers, is small compared to a city utility, but sizable for an on-site, industrial operation. It serves 239 residential service connections, or meters, which can include multiple units.

Starbase's role is limited by design: "The City of Starbase does not provide any utility services," Myers told TechCrunch. "These services are provided by SpaceX within the City Limits."

In practice, that means the forthcoming Brownsville-Starbase pipeline would feed a private, SpaceX-run water system. Neighbors don't automatically gain a right to a tap; any connection would be at SpaceX's discretion, and on SpaceX's terms.

The planned pipeline solves near-term scarcity for SpaceX employees and their families, but doesn't create a public right to water.

According to public records, SpaceX has not obtained a Certificate of Convenience and Necessity (CCN), a Texas Public Utility Commission authorization that determines who may retail water, so has no obligation to serve third parties.

SpaceX did not respond to TechCrunch's questions on whether it will be adding public utilities to its long list of commercial services.

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AI



OpenAI's GPT-5 is here

GPT-5 Flagship model

OpenAI has launched GPT-5, a new flagship AI model that will power the company's next generation of ChatGPT.

GPT-5, which was released Thursday, is OpenAI's first "unified" AI model and combines the reasoning abilities of its [o-series](#) of models with the fast responses of its [GPT series](#). The next-generation model signals a new era for ChatGPT — and its creator, OpenAI — pointing to OpenAI's broader ambitions to develop AI systems that are [more like agents](#) than chatbots.

While [GPT-4](#) enabled AI chatbots to offer smart responses on a wide variety of questions, GPT-5 allows ChatGPT to complete a wide variety of tasks on behalf of users — such as generating software applications, navigating a user's calendar, or creating research briefs.

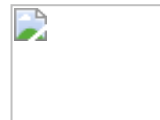
With GPT-5, OpenAI has also sought to make ChatGPT simpler to use. Instead of asking users to choose the right settings, GPT-5 comes equipped with a real-time router that decides how to offer the best answer, whether that's responding to user questions quickly or taking additional time to "think" through answers.

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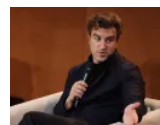
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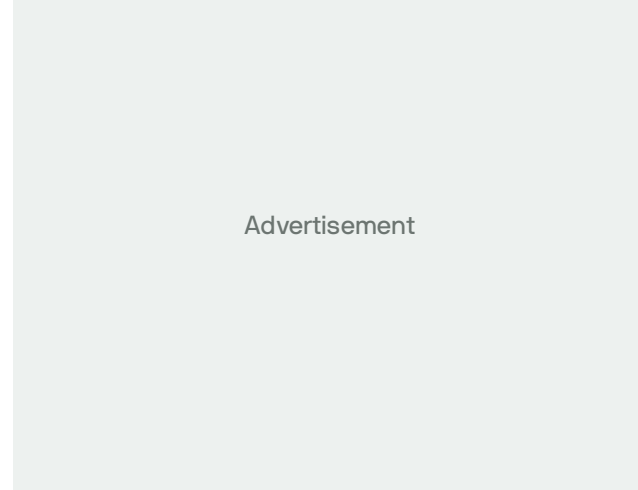
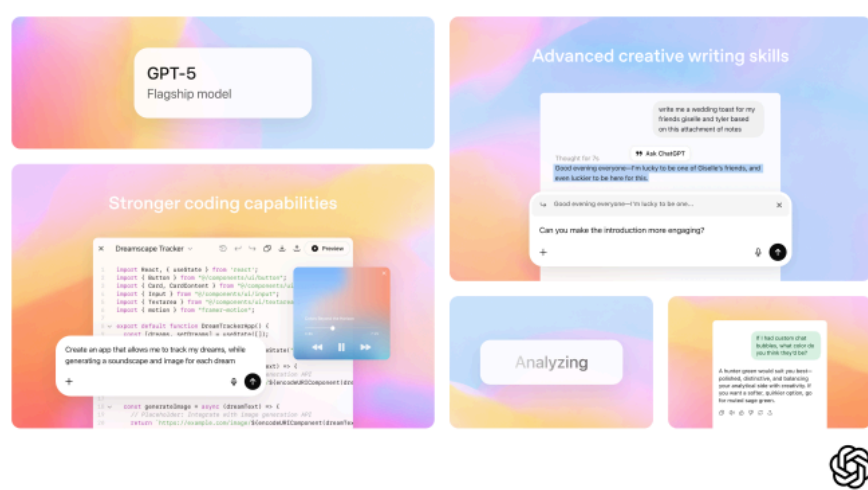


IMAGE CREDITS: OPENAI

During a briefing with reporters, OpenAI CEO Sam Altman claimed GPT-5 is “the best model in the world,” and said it represented a “significant step” along the company’s path to developing AI that can outperform humans at most economically valuable work — that is, artificial general intelligence (AGI).

“Having something like GPT-5 would be pretty much unimaginable at any previous time in history,” said Altman.

Starting Thursday, GPT-5 will be available to all free users of ChatGPT as their default model. OpenAI’s VP of ChatGPT, Nick Turley, said this is part of the company’s effort to give free users access to an AI reasoning model for the first time. (Previously, the company gated these more advanced models behind a paywall.)

“This is just one of the ways that I’m excited to live the mission, making sure that this stuff actually benefits people,” said Turley on the decision, referencing OpenAI’s long-standing [mission](#) to distribute advanced AI to as many people as possible.



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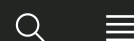
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These stakeholders are watching to see if GPT-5 offers a significant jump in AI's capabilities, much like its predecessor, GPT-4, which challenged expectations of what software can do.

GPT-5 offers a slight edge on the competition

OpenAI claims GPT-5 is state-of-the-art in several domains, slightly edging out leading AI models from Anthropic, Google DeepMind, and Elon Musk's xAI on key benchmarks. However, GPT-5 slightly underperforms frontier AI models in other areas.

The company says GPT-5 offers frontier-level performance around coding; Altman said the model specifically excels at spinning up entire software applications on demand, in what’s become known as “vibe coding.”

On SWE-bench Verified — a test of real-world coding tasks pulled from GitHub — GPT-5 scores 74.9% on its first attempt. That means GPT-5 just outperforms Anthropic’s latest Claude Opus 4.1 model, which scored [74.5%](#), and Google DeepMind’s Gemini 2.5 Pro, which scored [59.6%](#).

On Humanity’s Last Exam — a difficult test measuring AI model performance across math, humanities, and the natural sciences — a version of GPT-5 with extended reasoning (GPT-5 Pro) scored 42% when using tools. That’s slightly less than xAI was able to achieve with [Grok 4 Heavy](#), which scored 44.4% on the test.

Humanity’s Last Exam (Full Set)*
Expert-level questions across subjects

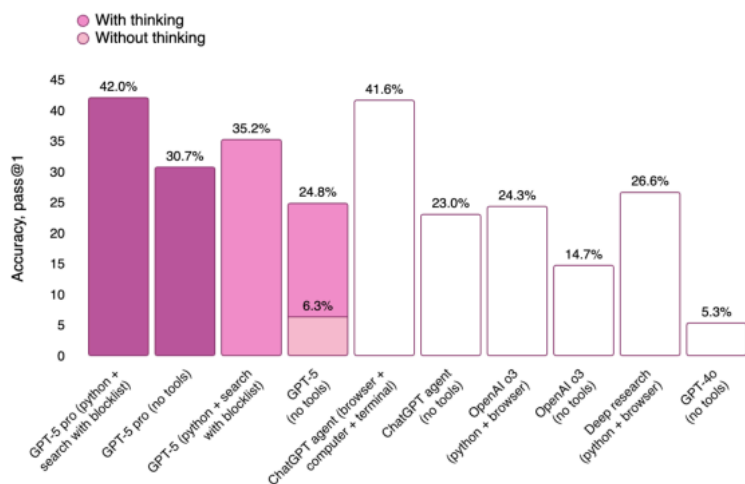


IMAGE CREDITS: OPENAI

On GPQA Diamond — a test of PhD-level science questions — GPT-5 pro scored 89.4% on its first try, outperforming Claude Opus 4.1, which scored 80.9%, and Grok 4 Heavy, which scored 88.9%.

OpenAI says GPT-5 is better for answering health-related questions. On a test measuring accuracy in AI model responses around healthcare topics,

HealthBench Hard Hallucinations, OpenAI says GPT-5 (with thinking) hallucinates just 1.6% of the time. This is far lower than the company's previous GPT-4o and o3 models, which scored 12.9% and 15.8, respectively.

While AI chatbots are not medical professionals, [millions of people](#) are using them for health advice. In response to this phenomenon, the company says GPT-5 is more proactive about flagging potential health concerns and helping users parse medical results.

In addition, OpenAI says GPT-5 is better than other AI models on more difficult-to-measure, [subjective domains](#), such as creative design and writing. Turley said GPT-5 responds more naturally and exhibits “better taste” than other AI models on creative tasks.

“The vibes of this model are really good,” said Turley.

GPT-5 is also more accurate than OpenAI's previous models, and the company says it suffers far less from hallucinations — the tendency for AI models to make up information — compared to its o-series models. Hallucinations seemed to be [getting worse](#) in OpenAI's latest AI reasoning models, such as o3, and OpenAI previously said it didn't quite understand why it was happening.

In responses to ChatGPT prompts, OpenAI found that GPT-5 (with thinking) hallucinates and responds with incorrect information 4.8% of the time. That's a significant reduction from o3 and GPT-4o, which score hallucination rates of 22% and 20.6%, respectively, on the test.

On a benchmark measuring an AI model's agentic ability to complete simulated online tasks, Tau-bench, GPT-5 offers mixed performance. On part of

the test measuring an AI's ability to navigate an airline's website, GPT-5 scores 63.5%, slightly underperforming o3, which scored 64.8%. On another part of the test measuring AI's ability to navigate retail websites, GPT-5 scores 81.1%, underperforming Claude Opus 4.1, which scored 82.4%.

OpenAI also says that GPT-5 is safer than its previous models. While AI reasoning models occasionally exhibit a tendency to [scheme against humans](#) or lie to promote their own goals, OpenAI found that GPT-5 was deceptive at a lower rate than other models.

Alex Beutel, OpenAI's safety research lead, said reducing deception improves not only the safety of GPT-5, but also the user experience, creating a model that's more "transparent and honest in ways users can trust."

Beutel also notes GPT-5 is better at discerning between bad actors who are trying to misuse ChatGPT and users making harmless requests. This results in GPT-5 being able to refuse more unsafe questions, while offering fewer rejections to users seeking harmless information.

Upgrades for consumers and developers

ChatGPT is getting a few user experience upgrades as part of the GPT-5 launch. Users can now select from four new personalities in ChatGPT's setting: Cynic, Robot, Listener, and Nerd. The company says these will adapt ChatGPT's responses without requiring users to specifically ask the model to respond in a certain way.

Subscribers to ChatGPT's \$20-per-month Plus plan get higher usage limits for GPT-5 than free users.

Meanwhile, \$200-per-month Pro subscribers will have unlimited access to GPT-5, as well as a souped-up version called GPT-5 Pro that uses additional computational resources to produce better answers. Organizations on OpenAI’s Team, Edu, and Enterprise plans will gain access to GPT-5 as their default model next week.

For developers, GPT-5 is coming to OpenAI’s API in three sizes — gpt-5, gpt-5-mini, and gpt-5-nano — which will spend more or less time “reasoning” through tasks. Developers can also now control verbosity in the OpenAI API, deciding how long or short an AI model’s responses should be.

The base model of GPT-5 will cost developers \$1.25 per million input tokens (roughly 750,000 words, longer than the entire “Lord of the Rings” series) and \$10 per million output tokens.

The launch of GPT-5 comes after a busy week for OpenAI. The company released an open-weight reasoning model, [gpt-oss](#), that developers and enterprises can download for free and run at a fraction of the cost. The open model nearly matched the abilities of OpenAI’s previous top models, o3 and o4-mini, but GPT-5 sets a new standard for frontier performance in some areas, such as coding.

However, GPT-5 seems to be roughly on par with other frontier AI models in several areas. Benchmarks, of course, only tell part of the story for any AI model, and it remains to be seen how developers will use GPT-5 in the real world, and whether the model is truly a step above the competition.

Topics: [AI](#) [ChatGPT](#) [gpt-5](#) [OpenAI](#)



Maxwell Zeff

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AI

AI agents aren't the 'new Google,' says Airbnb CEO

Sarah Perez — 8:37 AM PDT · August 7, 2025

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After a second-quarter earnings [beat](#), Airbnb CEO Brian Chesky shared his thoughts on the

company's AI strategy, cautioning investors that AI chatbots can't yet be thought of as the "new Google." That is, AI chatbots, while potentially driving new leads to the travel and services business, aren't entirely a replacement for the referrals that the dominant search engine brings.

At least not at this time.

"I think we're still kind of feeling out the space," the exec told investors on the Q2 earnings call. "The thing I want to caution is I don't think that AI agents — I don't think we should think of chatbots like Google — I don't think we should think of them as the 'new Google' yet."

This, Chesky explained, is because AI models aren't "proprietary."

"We also have to remember that the model powering ChatGPT is not proprietary. It's not exclusive to ChatGPT. We — Airbnb — can also use the API, and there are other models that we can use," he said.

Painting a broader picture of the AI landscape, Chesky said that in addition to chatbots and other AI agents, there will be custom-built startups designed for specific applications, as well as other incumbents that have made the shift to AI.

"One of the things we've noticed is it's not enough to just have ... the best model. You have to be able to tune the model and build a custom interface for the right application. And I think that's the key," he said.



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The company told investors it will look to take advantage of AI in a number of ways.

Airbnb shared during the call that its AI customer service agent in the U.S. reduced the percentage of guests contacting a human agent by 15%, for instance. This was actually harder than tackling the lower-hanging fruit involving travel planning and inspiration, Chesky said, because AI agents performing customer service can't hallucinate. They have to be accurate and helpful at all times.

Airbnb's customer service agent was built using 13 different models and trained on tens of thousands of conversations, and is currently available in English in the U.S. This year, Airbnb will roll it out to more languages, and next year, it will become more personalized and agentic. That means it would be able to understand if someone reaches out to cancel a reservation; not only would it be able to tell them how to do so, but it could also do it for them. The agent could also help plan and book trips.

Plus, AI will come to Airbnb's search next year, the CEO said.

However, the company has not fully fleshed out its plans for working with third-party AI agents,

although it's considering it. Users still need an Airbnb account to make a booking.

Because of this, Chesky doesn't think agentic AI would turn its business into a commodity, the way that booking flights has become. Instead, he sees AI as "potentially interesting lead generation" for the company.

"I think the key thing is going to be for us to lead and become the first place for people to book travel on Airbnb. As far as whether or not we integrate with AI agents, I think that's something that we're certainly open to," he said.

Airbnb beat analysts' expectations in the quarter with revenue of \$3.1 billion and earnings per share of \$1.03, but the stock [dropped](#) on its forecast of slower growth in the second half of the year.

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